

EXHIBIT C

hunden partners

CITY OF PORTLAND

Future of Large-Scale Performing Arts

Demand, Financial and
Impact Projections

April 16, 2026



Project Introduction

In 2025, City of Portland (City) engaged Hunden Partners (Hunden) to complete a market feasibility analysis to determine whether the regional cultural and entertainment ecosystem can support two Broadway-capable performing arts venues located in downtown Portland, Oregon (Project): one at the current Keller Auditorium (Keller) site and another at a proposed site at Portland State University (PSU). The result of that study determined there was insufficient market support for two Broadway-capable venues in Portland.

As the City now considers a path forward, Hunden was engaged to develop projected stabilized demand, revenue, and economic impact projections for both scenarios, both assumed to be publicly-managed facilities.

- Renovated Keller with an assumed 3,000-seat capacity
- PSU venue with the 3,200-seat capacity recommended in Hunden's prior study

The purpose of this analysis is to estimate how a renovated Keller would perform compared to a new PSU venue.

In order to be more directly comparative, this analysis does not consider the performance or impacts of the additional components of the proposed PSU performing arts and mixed-use campus.

This initial analysis also does not consider the short-term impacts of closing the Keller, costs to build either venue, or ongoing expenses to operate these facilities. Hunden recommends this be a next step to look at the full picture of the impact of moving forward with either scenario.



Historical Performance



Broadway Performance

Broadway Demand Nears Current Venue Capacity

Hunden evaluated the historical performance of Keller as a foundation for the projected performance of either venue. Broadway’s impact is significant as it makes up approximately 50 percent of event revenues for the Keller. The table to the right outlines fiscal year 2025 (FY25) Broadway performances at the Keller.

In FY25, there were 96 Broadway performances that generated more than \$24 million in gross ticket sales. The tickets sold averaged 94 percent of capacity for this period. However, blockbuster shows like *Hamilton*, *Wicked*, and *The Book of Mormon* supported 97-98 percent occupancy on average, showing that peak current demand is nearing the ceiling of the 2,992-seat capacity of the current Keller. The Keller currently also has a number of limited view seats, which impacts its current ability to achieve 100-percent occupancy.

A below optimal capacity or seat configuration leaves money on the table for a venue.

KELLER AUDITORIUM FY25 BROADWAY PERFORMANCE

Tour	Number of Performances	Ticket Sales	Tickets Sold	Avg. Tickets Sold	Occupancy
The Book of Mormon	8	\$2,075,062	23,527	2,941	98%
Six - Boleyn	8	\$1,767,973	21,743	2,718	91%
Life of Pi	8	\$1,297,333	21,782	2,723	91%
Hamilton - Phillip	24	\$8,242,800	68,828	2,868	97%
Kimberly Akimbo	8	\$1,261,453	21,479	2,685	92%
Wicked - Munchkinland	24	\$7,237,834	68,545	2,856	97%
Peter Pan	8	\$1,315,128	22,233	2,779	93%
Company	8	\$1,205,558	20,277	2,535	86%
Total/Average	96	\$24,403,841	268,414	2,796	94%

Source: Broadway League

New Venue Impacts

Newly Developed Venues Achieve a Significant Lift in Demand

Hunden also evaluated the impacts new venues had on Broadway performance. Salt Lake City and Orlando both developed new Broadway-capable venues in the 2010s that replaced older venues being utilized for Broadway shows.

The impact was significant in both cases. Broadway subscriptions increased significantly with the opening of the new venues and have consistently maintained those elevated levels.

Both venues have increased capacities compared to the older venues, and despite this increase witnessed a significant bump in average occupancy of Broadway shows, going from 75 to 83 percent occupancy on average to more than 93 percent.

Average ticket prices also increased for Broadway events, increasing 11 to 38 percent on average.

Overall attendance also increased significantly, due not only to an increase in occupancy, but also due to an increase of Broadway content that was hosted at these venues. These, in turn, drove a significant increase in ticket sales compared to the prior venues.

Hunden also looked into renovated venues; however, these projects were complete restorations of 100+ year old historic venues, and not comparable to the situation in Portland.

NEW VENUE BROADWAY IMPACTS

Post vs. Prior Venue	Salt Lake City	Orlando
Capacity	+29%	+12%
Occupancy	+13%	+24%
Average Ticket Price	+38%	+11%

Sources: Broadway League

Commercial Performance

Material Negative Impact on Commercial Demand Not Anticipated

Two new concert and live entertainment (commercial) venues are proposed in Portland. As these venues have the potential of pulling commercial content from the Keller, an evaluation of commercial content at the Keller was completed.

Commercial events at the Keller in FY25 totaled 25 performances. Of these events, 56 percent were concerts, which could be accommodated at the new commercial venues. However, when evaluating types of concerts, 93 percent of these acts typically utilized fixed-seat theaters and are unlikely to move to the new flat floor venues.

Based on the types of historical acts hosted at the Keller, Hunden does not expect the new commercial venues to have a material negative impact on the Keller or PSU venue to attract this level of commercial demand.

As the City considers who may manage either of these venues in the future, while dependent on the actual management team in place, private operators typically bring in additional commercial events through their network of touring shows and promoters. The level of Broadway and other content types are expected to be similar regardless of public or private management.

KELLER AUDITORIUM FY25 COMMERCIAL EVENTS

Commercial Events by Type		
Concert	14	56%
Comedy	8	32%
Live/Theatrical Show	2	8%
Dance	1	4%
Total	25	100%
Concert Acts - Typical Venue Type		
Fixed Seat Theater	13	93%
Flat Floor	1	7%
Total	14	100%

Sources: Portland'5, Hunden Partners

Keller Demand

Strong Current Demand Supports New/Renovated Venue Development

The table to the right outlines total performances (events), tickets sold, and attendance for the Keller in FY25.

In FY25, the Keller hosted 178 performances, and more than 50 percent of events were Broadway content. Resident events were significant, though included an outlier with *The Nutcracker* being presented a total of 21 event days.

Attendees are estimated at 92 percent of tickets sold, which aligns with the percentage of attendees vs. tickets sold for Broadway shows at the Keller. Average attendance at non-Broadway events was lower than Broadway events, which depends on the individual draw of the acts. Curtaining systems that reduce capacity for lower demand shows will help either venue fit a range of demand levels without making the venue appear empty.

In total, Keller events generated nearly 400,000 in attendance in FY25.

KELLER FY25 DEMAND

	Broadway	Commercial	Co-Promoted	Non-Profit	Resident	Total
Shows	8	25	5	4	4	46
Performances	96	25	10	8	39	178
Tickets Sold	268,414	48,400	18,184	15,275	76,484	426,756
Average Tickets Sold	2,796	1,936	1,818	1,909	1,961	2,398
Percent of Capacity	94%	65%	61%	64%	66%	80%
Actual Attendance	247,391	44,528	16,729	14,053	70,365	393,066
Average Attendance	2,577	1,781	1,673	1,757	1,804	2,208

Source: Portland'5

Financial Performance

Strong Broadway/Keller Operating Venues Support P’5 Sustainability

The table to the right outlines net revenues to the facility in FY25. As Keller mostly operates under a rental model, the facility only retains a portion of ticket sales for co-promoted events where it takes financial risk in the event.

Most revenues are generated from ticket charges, facility fees, and charges for use of the facility (rent, labor, services). The facility also receives a commission on merchandise and food and beverage sold at events.

In total, Keller events generated approximately \$10.5 million in operating revenues in FY25, and an additional ~\$2 million in an estimated allocation of P’5 government contributions, interest income, and miscellaneous revenues. These operating revenues help subsidize the operating losses of other P’5 venues.

KELLER AUDITORIUM FY25 OPERATING REVENUES

Ticket Sales (Co-Promoted)	\$862,618
Ticket/Facility Fees	\$4,706,604
Food and Beverage*	\$1,007,149
Merchandise	\$205,446
Facility/Equipment Rental	\$1,256,852
Reimbursed Labor/Services	\$2,517,663
Miscellaneous Charges	\$352,316
Discounts	\$(352,996)
Total	\$10,555,652

**Not tracked by venue, allocated based on attendance
Source: Portland'5*

Demand, Financial and Impact Projections



Demand Projections

Hunden developed stabilized demand projections for both the proposed PSU venue at the recommended 3,200-seat capacity and the renovated Keller assumed to achieve a 3,000-seat capacity.

Aside from PSU events, it is assumed both venues would be able to generate the same number of events and at the same average occupancies. Broadway events are projected to include 11 single weekend shows, and one blockbuster running three weekends, for a total of 112 performances. Other event types are assumed to generate a similar level of performances as historical levels.

Due to new and expanded lobby spaces at both venues, it is assumed these facilities will also generate a significant number of banquets and receptions annually.

Based on the performance of other new Broadway-capable venues, it is assumed that in both scenarios, Broadway occupancy would average 95 percent. In the case of PSU, this estimate is above 3,000 seats, and certain events, like blockbusters, are assumed to carry occupancies nearing 100 percent. Other event types are assumed to have a slight lift in historical occupancy, ranging from 65 to 70 percent

Total tickets sold is estimated at nearly 500,000 for the PSU and 460,000 for the Keller. Based on an estimated attendance ratio of 92 percent of tickets sold, total actual attendance is estimated to exceed 460,000 for PSU, and 430,000 for the Keller, an increase of 8 percent for PSU.

PSU Venue: +8% in Projected Attendance Compared to a Renovated Keller

PROJECTED STABILIZED PSU DEMAND

	Broadway	Commercial	Co-Promoted	Non-Profit	Resident	PSU	Banquet/Reception	Total
Shows	12	24	4	4	5	2	26	77
Performances	112	24	8	8	30	2	26	210
Tickets Sold	340,480	53,760	17,920	16,640	62,400	4,800	-	496,000
Average Tickets Sold	3,040	2,240	2,240	2,080	2,080	2,400	-	2,696
Percent of Capacity	95%	70%	70%	65%	65%	75%	-	84%
Actual Attendance	313,242	49,459	16,486	15,309	57,408	4,416	6,500	462,820
Average Attendance	2,797	2,061	2,061	1,914	1,914	2,208	250	2,480

Source: Hunden Partners

PROJECTED STABILIZED KELLER DEMAND

	Broadway	Commercial	Co-Promoted	Non-Profit	Resident	PSU	Banquet/Reception	Total
Shows	12	24	4	4	5	-	26	75
Performances	112	24	8	8	30	-	26	208
Tickets Sold	319,200	50,400	16,800	15,600	58,500	-	-	460,500
Average Tickets Sold	2,850	2,100	2,100	1,950	1,950	-	-	2,530
Percent of Capacity	95%	70%	70%	65%	65%	-	-	84%
Actual Attendance	293,664	46,368	15,456	14,352	53,820	-	6,500	430,160
Average Attendance	2,622	1,932	1,932	1,794	1,794	-	250	2,328

Source: Hunden Partners

Revenue Projections

Based on the demand projections, Hunden developed stabilized operating revenue projections for both venues, in today's dollars. Due to the venues being new or renovated and based on the price lift at other new venues, a 15- to 20-percent increase in average ticket price, and a 10- to 15-percent increase in facility rental was assumed.

Due to expectations of expanded offerings, points of sale, and increased circulation, food and beverage and merchandise per caps were increased from historical levels.

Other revenue types not based on a percentage of ticket sales or fixed fees are assumed to have a 10-percent increase from historical levels due to the facilities being new or renovated.

In total, the PSU venue is projected to generate stabilized annual operating revenues of approximately \$15.3 million, compared to \$12.3 million for the Keller, an increase of approximately 12 percent for PSU.

The PSU project is expected to have 740 on-site parking spaces. Hunden assumed that parking revenues charged for events would be retained by PSU and are not included in these revenue projections. If these revenues do accrue to the venue, they would be significant (estimated at ~\$1.4 million annually).

PSU Venue: +12% in Projected Revenues Compared to a Renovated Keller

STABILIZED REVENUE PROJECTIONS

	PSU	Keller
Gross Revenues		
Ticket Sales	\$ 48,934,400	\$ 41,742,000
Food and Beverage	\$ 4,437,535	\$ 3,766,166
Merchandise	\$ 1,860,606	\$ 1,744,320
Operating Revenues (Net to Venue)		
Ticket Sales	\$ 1,075,200	\$ 840,000
Ticket / Facility Fees	\$ 6,230,784	\$ 5,482,320
Food & Beverage	\$ 1,540,137	\$ 1,305,158
Merchandise	\$ 372,121	\$ 348,864
Facility / Equipment Rental	\$ 1,613,800	\$ 1,550,200
Reimbursed Labor / Services	\$ 2,956,000	\$ 2,804,800
Miscellaneous Charges	\$ 475,480	\$ 464,280
Discounts	\$ (409,400)	\$ (408,800)
Total Operating Revenues	\$ 13,854,122	\$ 12,386,822

Source: Hunden Partners

Direct Spending

Based on historical customer ZIP code data and Placer.ai geofencing that shows Keller visitor distance from home locations, an estimated 89 percent of attendees are projected to be daytrip visitors, with 11 percent overnight guests.

While the reason for a visit to Portland may go beyond visiting either of these venues, activity at these venues is expected to support 18,000 room nights annually.

Based on both on- and off-site spending from attendees, the PSU venue is projected to exceed \$76 million in direct spending in today's dollars, versus an estimated \$66 million in direct spending at the Keller, an increase of 16 percent for PSU. PSU on-site parking revenues were excluded from transportation spending, so as to not double count this type of local spending.

This direct spending then flows through the economy as indirect and induced spending, which supports jobs and related earnings.

PSU Venue: +16% in Projected Direct Spending Compared to a Renovated Keller

DAYTRIPS & OVERNIGHTS

	PSU	Keller
Total Attendance	462,820	430,160
Daytrips	413,257	383,800
Overnights	49,563	46,360
Room Nights	19,619	18,362

Source: Hunden Partners

DIRECT SPENDING

	PSU	Keller
Food and Beverage	\$ 10,437,440	\$ 8,222,140
Lodging	\$ 2,942,912	\$ 2,754,358
Retail	\$ 4,860,558	\$ 4,533,902
Transportation	\$ 6,999,889	\$ 6,509,025
Other	\$ 2,499,960	\$ 2,324,652
Tickets	\$ 48,934,400	\$ 41,742,000
Total	\$ 76,675,160	\$ 66,086,076

Source: Hunden Partners

Introduction to Impacts

Hunden used the IMPLAN input-output multiplier model, which determines the level of additional activity in the economy due to additional inputs. For example, for every dollar of direct spending, the IMPLAN model provides multipliers for the indirect and induced spending that will result.

On- and off-site spending from visitors to either venue is considered to be the **Direct Impact**.

From the direct spending figures, further impact analysis was completed.

- **Indirect Impacts** are the supply of goods and services resulting from direct spending. For example, a visitor's direct expenditure on a hotel room causes the hotel to purchase linens and other items from suppliers. These purchases are considered an indirect economic impact.
- **Induced Impacts** embody the change in spending due to the personal expenditures by employees whose incomes are affected by direct and indirect spending. For example, a waitress at a restaurant may have more personal income as a result of an attendee's visit. The amount of the increased income that the employee spends is considered an induced impact.
- **Employment Impacts** include the incremental employment due to spending. Direct, indirect and induced spending support new and ongoing businesses, and ultimately result in ongoing employment. Hunden will show the number of ongoing jobs supported by each venue and provide the estimated income generated.
- **Fiscal Impacts** represent the incremental tax revenue collected due to direct spending. The fiscal impact represents the government's share of total economic benefit.

Impacts

PSU Venue: +15% in Projected Spending, Earnings, and Jobs Compared to a Renovated Keller

Based on stabilized direct spending estimates for both venues, total spending in today's dollars including indirect and induced spending, is estimated at \$95.5 million for PSU, compared to \$82.5 million for the Keller, an increase of 16 percent for PSU.

This spending in turn supports jobs and related earnings, estimated at \$17.4 million in job earnings for PSU and \$15.1 million in job earnings for the Keller.

Total jobs supported by projected spending is estimated to exceed 300 jobs for both scenarios.

Due to projected room nights, both venues are projected to generate more than \$1.7 million in annual City and County transient lodging taxes.

SUMMARY OF IMPACTS

	PSU	Keller
Spending	(millions)	(millions)
Direct	\$ 76.7	\$ 66.1
Indirect	\$ 12.1	\$ 10.5
Induced	\$ 6.8	\$ 5.9
Total	\$ 95.5	\$ 82.5
Job Earnings	(millions)	(millions)
Direct	\$ 10.9	\$ 9.4
Indirect	\$ 4.1	\$ 3.6
Induced	\$ 2.4	\$ 2.1
Total	\$ 17.4	\$ 15.1
Jobs	Actual	Actual
Direct	283	247
Indirect	51	45
Induced	32	28
Total	367	320
Transient Lodging Tax	(millions)	(millions)
Multnomah County (5.5%)	\$ 0.9	\$ 0.8
City of Portland (6.0%)	\$ 0.9	\$ 0.9
Total	\$ 1.8	\$ 1.7

Source: Hunden Partners

Implications

- Hunden projects that both the PSU venue and the renovated Keller would generate increased visitation, facility revenues, and economic impacts compared to the current Keller. While the number of performances projected in either scenario is similar, the larger new PSU venue is expected to achieve a lift of 8 percent in attendance, 12 percent in operating revenues, and 16 percent in economic impacts compared to a renovated Keller.
- This analysis only considers the performance and impacts of the larger Broadway-capable venue at PSU. The additional components of the PSU performing arts campus, including a 1,200-seat venue, hotel, conference, office and educational space, and restaurant are expected to generate significant additional impacts to Portland if developed.
- This initial analysis does not consider the short-term impacts of closing the Keller. A closure of the Keller is estimated to cause the loss of direct spending by more than \$50 million per year and negatively impact other P'5 performing arts organizations that rely on the Keller to be sustainable.
- A multi-year closure of Keller also risks eroding Portland's Broadway audience and forcing skilled labor to relocate from Portland to other cities for employment. Unlike the continuity that the PSU scenario allows for, a closure of the Keller will also likely result in a ramp-up period after opening to achieving stabilization, compared to an expected immediate lift in performance moving straight from the Keller to the new venue at PSU.
- A temporary/semi-permanent venue could also be considered to maintain continuity while the Keller is renovated. The site, performance, cost, and impact of developing such a venue, as well as the expected number of years such a venue would be in operation and in demand would need to be evaluated to determine the value of such a pursuit.
- It is anticipated that the new PSU venue will cost more to develop than renovating the Keller. A more definitive physical program of both venues and associated costs to develop either venue would need to be determined to better understand public funding needs and additional advantages or disadvantages of moving forward with either scenario.
- The proximity of the proposed PSU venue to the Keller (0.5 miles) is not expected to have a significant negative impact on downtown activity. Rather, the development of the PSU campus is expected to increase activation of the downtown area.

Hunden Recommendation: Develop a 3,200-seat capacity Broadway capable venue at PSU.



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